

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate
Transmission System

Docket No. RM26-4-000

**COMMENTS OF
SOUTHERN MARYLAND ELECTRIC COOPERATIVE, INC.**

The Southern Maryland Electric Cooperative, Inc. (“SMECO”) respectfully submits the following comments in response to the Commission’s Notice Inviting Comments and the Notice Granting Extension of Time granted on November 7, 2025 regarding the U.S. Secretary of Energy’s October 23, 2025 proposed Advance Notice of Proposed Rulemaking (“ANOPR”)¹ to “ensure the timely and orderly interconnection of large loads to the transmission system”² for consideration and final action by the Federal Energy Regulatory Commission (“Commission”).

I. SMECO’s Interest in the Proceeding

SMECO is a Maryland electric cooperative and non-profit membership corporation, incorporated under the Electric Cooperative Act of Maryland. SMECO is a PJM Transmission owner and a PJM load serving entity (“LSE”) in the Pepco Transmission zone. SMECO is a load-serving entity within the PJM Interconnection, L.L.C. (“PJM”) RTO, a member of PJM, and a PJM Transmission Owner.

SMECO appreciates the opportunity to comment on the important issues addressed by the proposed ANOPR. SMECO respectfully submits that a final rule to establish standardized, non-discriminatory procedures for "orderly" interconnections of large new loads without

¹The ANOPR can be found at <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf> and is posted on the Commission’s eLibrary in the above-referenced Docket.

² ANOPR at P 1.

compromising reliability is needed at the present time. Specifically, with each passing PJM capacity market auction, the quantity of new loads that PJM is attempting to serve in its capacity market is ever increasing. For example, in the Base Residual Auction (“BRA”) for the PJM 2027/2028 Delivery Year (“DY”) that opens on December 4, 2025, the quantity of load that PJM has to meet to adhere to its 1-day in 10 reliability standard increased by 6,295 MW (UCAP) over the preceding BRA for the 26/27 DY.³

II. Summary

At the outset, SMECO supports the comments of its trade association, the National Rural Electric Cooperative Association (“NRECA”). SMECO’s comments relate to the PJM market and the regional differences that NRECA has expressed should be addressed in any final rulemaking.

To that end, SMECO focuses on the following ANOPR topics in which, in SMECO’s view, there is a particularly urgent PJM nexus:

- **Expedited Interconnection Studies for Dispatchable Large Loads:** SMECO urges the Commission, in any final rule, to ensure that PJM’s ability to control such eligible load facilities through curtailment and/or dispatch, through, for example PJM Price Responsive Demand and Demand response products, to the extent those or similar products is permitted at all to serve new large loads, is adequate for PJM to integrate the facility into both operations and system planning. SMECO also comments on the studies timeline and integration with PJM’s capacity market auctions in its comments below.
- **Load and Hybrid Facilities Network Upgrade Cost Allocation:** As a general proposition, based on cost causation principles, SMECO supports a federal construct and framework in the PJM Open Access Transmission Tariff that would directly assign costs associated with upgrades to the electric transmission system caused by a large load facility directly to the large load facility (or group of large load facilities) assigned through the interconnection studies. A framework that would directly assign costs associated with upgrades to the electric transmission system caused by a large load facility – akin to a customer Contribution in Aid of Construction (“CIAC”) at the wholesale level or Federal CIAC – would also entail the new large load paying network

³ See Table 1: <https://www.pjm.com/-/media/DotCom/markets-ops/rpm/rpm-auction-info/2027-2028/2027-2028-planning-period-parameters-for-base-residual-auction-pdf.pdf>

service thru the applicable network service rate once access to the grid is achieved by paying for the appurtenant necessary upgrade.

- **RMR studies for Hybrid (co-located load) arrangements:** SMECO supports a final rule that would consider expanding the reliability studies that PJM performs pursuant to PJM Tariff, Part V to an existing generating facility that seeks to enter a partial suspension, as described in the ANOPR, to serve any new load authorized to take service in a co-located or hybrid configuration (to the extent such arrangements are permitted in the first instance).

III. Comments

A. **ANOPR Principle 7: Expedited Interconnection Studies for Large Loads that Agree to be Dispatchable.**

The ANOPR's seventh principle is that: "...the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited. The system operator's ability to control such facilities through curtailment and/or dispatch must be sufficient for the system operator to integrate the facility into both operations and system planning. This ensures the timely and orderly addition of large loads to the transmission system in a safe, reliable, and non-discriminatory manner. We seek comment on whether this should be accomplished through a serial interconnection study process or by some other means. We also seek comment on appropriate deadlines for such an expedited study process, including whether such studies can be completed in 60 days."⁴

SMECO's comments on this ANOPR principle focus on the tariff products that would meet this type of dispatchable or curtailable load service. In the PJM market the only current tariffed products such for "dispatchable" or curtailable load service is PJM Price Responsive Demand ("PRD") and Demand response ("DR") products.⁵ But such loads need to be 'cleared'

⁴ *Id.* at P 24.

⁵ <https://www.pjm.com/-/media/DotCom/about-pjm/newsroom/fact-sheets/price-responsive-demand.pdf>

in a PJM capacity market auction for a forward DY; that timing alone, while it may may permit the completion of studies in 60 days, may push load service until the applicable DY.

SMECO recently proposed enhancements to PJM’s PRD service as part of the PJM Large Load Additions (“LLA”) Critical Issue Fast Path (“CIFP”) stakeholder process initiative.⁶ The SMECO PRD enhancements that PJM members considered on November 19, 2025 in the LLA CIFP are eminently consistent with the spirit of ANOPR Principle 7.

Thus, SMECO urges the Commission, in any final rule, to ensure that, if curtailable or dispatchable interconnections for large load are to be permitted at all, that PJM’s ability to control such eligible load facilities through curtailment and/or dispatch is adequate for PJM to integrate the facility into both operations and system planning.

B. ANOPR Principle 8: Load and Hybrid Facilities Network Upgrade Cost Allocation.

The ANOPR’s eighth principle is that “load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies.”⁷ Indeed, as the ANOPR states at paragraph 16: “Any large load that seeks to interconnect to the transmission system does so to obtain transmission service and the appurtenant benefits of such.”⁸

As a general proposition, SMECO supports a federal construct and framework in the PJM Open Access Transmission Tariff (the “PJM Tariff”) that would directly assign costs associated

⁶ <https://www.pjm.com/-/media/DotCom/committees-groups/cifp-lla/2025/20251119/20251119-item-021---smeco-prd-package---executive-summary.pdf>. SMECO’s PRD package received 2.333 out of a 5 sector-weighted votes, the highest vote tally of the PJM CIFP LLA packages. See voting report: <https://www.pjm.com/-/media/DotCom/committees-groups/committees/mc/2025/20251119/20251119-mc-voting-results---agenda-item-31--smeco-package.pdf>

⁷ ANOPR at P 25.

⁸ *Id.* at P 16.

with upgrades to the electric transmission system caused by a large load facility directly to the large load facility (or group of large load facilities) assigned through the interconnection studies.

Support for a framework in the PJM Tariff that would directly assign costs associated with upgrades to the electric transmission system caused by a large load facility – akin to a customer Contribution in Aid of Construction (“CIAC”) at the wholesale level or Federal CIAC – would also entail the new large load paying network service thru the applicable network service rate once access to the grid is achieved by paying for the appurtenant necessary upgrade.

Such a proposition is also consistent with legislation enacted in Maryland in 2025, which states that “[i]t is the intent of the General Assembly that residential retail electric customers in the State should not bear the financial risks associated with large load customers interconnecting to the electric system serving the State.”⁹

Principle 8 is essential to keep rates affordable to other consumers (especially residential customers, many of whom are currently struggling to afford their electric service) and to protect them from cost shifting. PJM transmission costs already occupy a higher share of total wholesale costs than RPM capacity costs¹⁰, and such costs stand to increase as the considerable large loads contemplated for the PJM region require PJM grid expansion.¹¹

SMECO’s support for a framework in the PJM Tariff that would directly assign costs associated with upgrades to the electric transmission system caused by a large load facility directly to the large load facility is consistent with long-standing cost-causation ratemaking

⁹ See: Md. Ann. Code, *Public Utilities* Art. § 4-212(b).

¹⁰ See: PJM IMM Presentation to PJM Members Committee, November 20, 2025: <https://www.pjm.com/-/media/DotCom/committees-groups/committees/mc/2025/20251120/20251120-item-03---market-monitoring-report--presentation.pdf>

¹¹ See: PJM’s 2025 Regional Transmission Expansion Plan Window 1, November 4, 2025 Transmission Expansion Advisory Committee meeting: <https://www.pjm.com/-/media/DotCom/committees-groups/committees/teac/2025/20251104/20251104-item-14---reliability-analysis-update.pdf>. The 2025 RTEP Window 1 solution package will depend on the proposals selected, with a range of costs expected to be between \$8-\$10 billion, and annual revenue requirement cost impact to PJM load of over \$1 Billion annually.

principles; as NRECA's initial comments note, Commission and judicial precedent requires that transmission costs be allocated in a manner "at least roughly commensurate with" the benefits derived from the facilities.¹²

C. ANOPR Principle 10: RMR Studies for Load Co-Location with an Existing Generator

The tenth ANOPR principle is that "an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource ("SSR")/reliability must run ("RMR")-type study."¹³

As NRECA notes in its comments, regional flexibility in implementing such requirements will be necessary. To that end, a concern in the PJM region is the impact that large load facilities that enter the market in a co-located or, to use ANOPR terminology, a "hybrid" configuration - will have on the power markets – specifically, dilution of available generation resources (supply), which will result in higher power prices – and potentially degraded resource adequacy for PJM load and SMECO's customer-members as new loads integrate without adequate new supply.

Thus, SMECO appreciates the importance of ANOPR Principle 10 and urges the Commission to adopt a final rule to ensure that local reliability is not negatively impacted by hybrid/co-location arrangements, if such arrangements are to be permitted in the first instance at all.

As background, section 113 of Part V the PJM Tariff provides that when a generation owner seeks to deactivate a generating unit, the generation owner must provide notice of such proposed deactivation, including the desired deactivation date. With a notice of deactivation,

¹² *Ill. Com. Comm'n v. FERC*, 576 F.3d 470, 477 (7th Cir. 2009).

¹³ ANOPR at P 27.

PJM reviews the reliability impact, to see if that deactivation of the generating unit would cause reliability concerns. Along with other sections of Part V of the PJM tariff, these provisions are known as “Tariff Part V reliability service,” a/k/a RMR service that the ANOPR describes at Paragraph 27.

SMECO supports a final rule that would consider expanding the reliability studies that PJM performs pursuant to PJM Tariff, Part V to an existing generating facility that seeks to enter a partial suspension, as described in the ANOPR, to serve any new load authorized to take service in a co-located or hybrid configuration.

IV. Conclusion

For the foregoing reasons, SMECO respectfully requests that the Commission consider its comments in connection with a final rule or further guidance from the Commission in this proceeding.

Respectfully submitted,

Southern Maryland Electric Cooperative, Inc.

/s/

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Dated: November 21, 2025

CERTIFICATE OF SERVICE

I hereby certify that I have this day served a copy of the foregoing document upon each party on the official service list compiled by the Secretary of the Federal Energy Regulatory Commission in this proceeding.

Dated: November 21, 2025.

/s/
John S. Rohrbach